

Reserve Bank of India – Regulatory Guidelines

Applicable to the BFSI Automated Lending Decisioning Agent

Document No: RBI-GUIDE-2025-01 | Version: 1.0 | Effective: 01 May 2026

Regulatory Scope: This document compiles RBI Master Directions, Circular guidelines, and Fair Lending Practice requirements that govern each processing node within the AI-driven loan decisioning workflow. Every section cross-references the specific LangGraph node it constrains.

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1. Data Privacy & PII Handling

Applicable Node: `pi_deletion_node`

The Reserve Bank of India's guidelines on Digital Lending (RBI/2022-23/111) and the Information Technology Act, 2000 (as amended) mandate that financial institutions must not retain, process, or transmit personally identifiable information (PII) beyond the minimum necessary scope. In an AI-driven decisioning pipeline, PII must be stripped before any model inference.

1.1 Mandatory PII Fields for Removal

Data Category	Fields Requiring Masking	RBI Reference
Consumer Identity	firstName, middleName, surname (all name records)	RBI DL Circular 2022, Para 8
Residential Address	streetPrefix, streetName, streetSuffix, unitType, unitId, city, state, zipCode	RBI DL Circular 2022, Para 8
Employment	Employer name field in tradeline	RBI DL Circular 2022, Para 8
Financial Account	accountNumber on all tradelines	PCI-DSS / RBI Cybersecurity Framework
Court / Legal Records	courtName, referenceNumber in public records	RBI FPC Master Direction 2016

1.2 Processing Rules

- A deep copy of the raw bureau payload must be created before masking; the original must not flow downstream.
- A boolean flag `is_pii_masked` must be set to `True` before any downstream node reads bureau data.
- Masked data must be stored separately and be inaccessible to customer-facing components.

WARNING: Failure to mask PII before model inference constitutes a data breach under RBI's Digital Lending Guidelines and attracts penalties under IT Act Section 72A.

Credit Information Bureau Usage

Applicable Node: `credit_score_node`

RBI's Master Direction on Credit Information Companies (CIC) Regulation, 2006 (updated 2023) prescribes how lenders must access and apply bureau-sourced credit scores. The decisioning node consuming Experian (or CIBIL/Equifax/CRIF) data must comply with these provisions.

2.1 Permissible Score Range & Band Classification

Score Range	Classification Band	Risk Flag	Permissible Base Limit (INR)	Node Constant
750 – 900	PRIME	LOW	■75,00,000	PRIME_LIMIT
700 – 749	NEAR_PRIME	MODERATE	■50,00,000	NEAR_PRIME_LIMIT
650 – 699	FAIR	MODERATE	■35,00,000	FAIR_LIMIT
< 650	SUBPRIME	HIGH	■20,00,000	SUBPRIME_LIMIT

2.2 Regulatory Obligations

- Lenders must use bureau data only for credit assessment purposes (CIC Act 2005, Section 17).
- The bureau model used (e.g., FICO 9 / Experian Score) must be disclosed to the applicant on request.
- Score weight in aggregation must be documented and reproducible (current weight: **0.25 / 25%**).
- Any override of bureau-derived classification by the AI model must be logged with a model-reasoning field.

RAG Integration Note: When the Indian workflow variant is active, score band thresholds are retrieved from the Qdrant vector store (RBI Guidelines collection) at runtime. Hardcoded fallback thresholds apply only when the RAG retrieval returns empty results.

3. Public Records & Bankruptcy Norms

Applicable Node: `public_record_node`

The SARFAESI Act 2002, the Insolvency and Bankruptcy Code (IBC) 2016, and RBI's Prudential Framework for Resolution of Stressed Assets (2019) govern how public record events must be treated in lending decisions.

3.1 Severity Classification & Adjustment Factors

Severity	Trigger Condition	Adjustment Factor	Hard Decline?	Regulatory Basis
NONE	No public records	1.00 (no reduction)	No	—
LOW	Non-bankruptcy records only (liens/judgments)	0.90	No	RBI FPC 2019
MODERATE	Bankruptcy discharged $\geq$ 5 years ago	0.75	No	IBC 2016, Sec 178
SEVERE	Bankruptcy < 5 yrs OR multiple judgments	0.50	Yes	IBC 2016 / SARFAESI

3.2 Hard-Decline Triggers (Regulatory Mandates)

- **Bankruptcy filed within the past 24 months:** Immediate decline mandatory under RBI's asset-classification norms.
- **Active insolvency proceedings:** No credit may be extended while proceedings are live (IBC 2016, Section 14).
- **Wilful defaulter classification:** Immediate hard decline; lender must report to CRILC (RBI Circular 2014).

WARNING: Hard-decline flag = True overrides ALL other positive risk signals in the aggregator node. This veto cannot be bypassed by any downstream node. Regulatory requirement — not discretionary.

4. Credit Utilisation Standards

Applicable Node: utilization_node

RBI's guidelines on responsible lending and the Basel III capital adequacy framework require lenders to account for an applicant's existing revolving credit commitments as a proxy for financial stress.

4.1 Utilisation Risk Thresholds

Utilisation Ratio	Risk Classification	Adjustment Factor	Interpretation
0% – 30%	EXCELLENT	0.95 – 1.00	Low revolving debt burden
31% – 50%	GOOD	0.80 – 0.95	Moderate revolving usage
51% – 75%	MODERATE	0.65 – 0.80	Elevated commitment level
> 75%	CRITICAL	0.50 – 0.65	Near-maxed revolving lines; high stress indicator

4.2 Applicable RBI Provisions

- Only revolving tradelines (revolvingOrInstallment = 'R') must be included in utilisation calculation — installment loans are excluded.
- The adjustment factor is applied multiplicatively to the base lending limit derived from the credit score band.
- Banks must document the utilisation methodology in their credit policy as required by RBI's Internal Rating-Based (IRB) guidance.

5. Debt Leverage & Exposure Limits

Applicable Node: `debt_exposure_node`

RBI's Household Debt-to-Income norms and prudential exposure guidelines require lenders to assess total outstanding indebtedness before extending additional credit, in line with the Financial Stability Report recommendations.

Exposure Risk	Debt-to-Income Multiplier	Monthly Obligation	Lending Impact
LOW	< 2× annual income	< 15% of gross monthly income	No additional constraint
MODERATE	2× – 4× annual	15% – 30% of gross monthly	Minor capacity reduction
HIGH	4× – 6× annual	30% – 45% of gross monthly	Significant capacity reduction
EXTREME	> 6× annual income	> 45% of gross monthly income	Near-decline trigger

5.1 Calculation Scope

- Only open tradelines (`openOrClosed = 'O'`) are included.
- Monthly obligations are summed from *monthlyPaymentAmount* fields across all open accounts.
- Exposure risk feeds the income node's DTI calculation.

6. Credit Inquiry Governance

Applicable Node: inquiry_node

Excessive credit-seeking behaviour is a recognised indicator of financial distress. RBI's guidelines on credit information usage (CIC Regulations 2006) and internal fraud prevention policies require monitoring of hard inquiry velocity over a rolling 12-month window.

Inquiries (12 months)	Velocity Risk	Penalty Factor	Interpretation
0 – 1	LOW	1.00 (none)	Normal credit-seeking
2 – 3	MODERATE	0.90	Elevated activity — monitoring required
4 – 6	HIGH	0.70	Significant credit shopping or distress signal
≥ 7	CRITICAL	0.50	Possible fraud or severe financial distress

- Penalty factor is applied multiplicatively to lending capacity.
- Rapid sequential applications within a 30-day window must be flagged as a potential fraud indicator per RBI's KYC/AML guidelines.

7. Payment History & NPA Classification

Applicable Node: `payment_behavior_node`

RBI's Prudential Norms on Income Recognition, Asset Classification and Provisioning (IRACP) — updated through Master Circular DBR.BP.BC.No.1/21.04.048 — define delinquency thresholds that must be reflected in a lender's automated credit scoring systems.

Behaviour Risk	Delinquency Count (30+ DPD)	Chargeoff History	Behaviour Score	IRACP Asset Class
EXCELLENT	0	None	90 – 100	Standard
GOOD	1 – 2	None	75 – 89	Standard / Special Mention
FAIR	3 – 5	Old (> 2 yrs)	50 – 74	Sub-Standard
POOR	6+	Recent (< 2 yrs)	25 – 49	Doubtful
UNACCEPTABLE	Multiple	Active collections	5 – 24	Loss

- Chargeoff accounts must be disclosed in the applicant's bureau report per CIC Regulations.
- DPD = Days Past Due. 30+ DPD for 90 days triggers NPA classification under IRACP norms.

8. Income Verification & Affordability

Applicable Node: `income_analysis_node`

RBI's Guidelines on Digital Lending (September 2022) and Fair Practices Code for NBFCs mandate that lenders must assess borrower repayment capacity through verifiable income evidence before credit disbursement. Debt-to-Income (DTI) is the primary affordability metric.

DTI Range	Income Risk	Affordability Flag	Regulatory Stance
0% – 30%	LOW	True	Fully within acceptable range
31% – 40%	MODERATE	True	Acceptable with documentation
41% – 50%	HIGH	True	Requires income verification proof
> 50%	UNACCEPTABLE	False	Hard limit — application declined (RBI FPC 2019)

8.1 DTI Formula

DTI = Total Monthly Obligations ÷ Verified Gross Monthly Income

Monthly obligations include: all open tradeline payments + proposed new EMI. Income must be sourced from bank statements, ITR, or salary slips.

8.2 Missing Income Handling

- If monthly income is unverifiable, `income_missing_flag` is set True and DTI is treated as 100% (UNACCEPTABLE).
- RBI DL Guidelines 2022 prohibit disbursement without income assessment — missing income triggers mandatory decline.

9. Risk Aggregation Governance

Applicable Node: risk_aggregator_node

RBI's guidelines on Model Risk Management (MRM) require that automated scoring models used for lending decisions must have documented, auditable weighting schemes and must not suppress adverse signals through opaque aggregation logic.

9.1 Factor Weights (Fixed — requires RBI Model Governance sign-off to change)

Risk Factor	Weight (%)	Node Source	Regulatory Rationale
Credit Score	25%	credit_score_node	Primary creditworthiness indicator (CIC Act)
Payment Behaviour	15%	behavior_node	IRACP delinquency assessment
Public Records	15%	public_record_node	IBC / SARFAESI statutory event
Credit Utilisation	15%	utilization_node	Revolving credit stress proxy
Income / DTI	15%	income_node	RBI affordability mandate
Debt Exposure	10%	exposure_node	Household leverage norms
Inquiry Velocity	5%	inquiry_node	Fraud / distress signal

9.2 Hard-Decline Override

WARNING: If `public_record_node` sets `hard_decline_flag = True`, the aggregated risk score is forcibly set to 0.0, ensuring Risk Tier = F (Decline) regardless of all other factor scores. This veto cannot be disabled. Regulatory basis: IBC 2016 / SARFAESI Act 2002.

9.3 Risk Tier Bands

Aggregate Score	Risk Tier	Disposition	Indicative Interest Range
80 – 100	A (Prime)	Approve	7.5% – 9.0%
65 – 79	B (Near-Prime)	Approve with conditions	10.0% – 12.5%
50 – 64	C (Fair)	Counter-Offer likely	13.5% – 16.0%
35 – 49	D (Subprime)	Counter-Offer / Decline	18.0% – 22.0%
< 35	F (Decline)	Hard Decline	N/A

10. Lending Decision & Interest Rate Regulation

Applicable Node: decision_llm_node

RBI's Master Direction on Interest Rate on Advances (2016, updated 2023) mandates that interest rates must be risk-based, transparent, and linked to a documented internal rating system. The Fair Practices Code (FPC) requires lenders to communicate all charges upfront.

10.1 Mandatory Decision Steps

Step	Action	Trigger Condition	Regulatory Basis
1	Hard Decline Check	Risk Tier = F OR hard_decline_flag = True	IBC / SARFAESI
2	Interest Rate Assignment	Based on Risk Tier (A/B/C/D)	RBI MCLR / Risk-Based Pricing
3	Capacity Calculation	Base Limit × adjustment factors	RBI Prudential Norms
4	Affordability Check	DTI affordability_flag = False → Decline	RBI DL Guidelines 2022
5	Approve / Counter / Decline	Requested ≤ / > / 0 vs capacity	FPC Master Direction 2016
6	Disbursement Calculation	Approved Amount × 0.98 (2% origination fee)	RBI Loan Charges Transparency

10.2 Risk-Based Interest Rate Schedule

Risk Tier	Annual Interest Rate	Regulatory Note
A (Prime)	7.5%	Must not be below RBI Repo Rate + mandated spread
B (Near-Prime)	10.0%	Disclosed upfront per FPC requirements
C (Fair)	13.5%	Disclosed upfront per FPC requirements
D (Subprime)	18.0%	Subject to RBI usury rate caps (state-level NBFCs)
F (Decline)	N/A	Decline reason must be communicated in writing

11. Counter-Offer & Loan Restructuring Rules

Applicable Node: counter_offer_node

RBI's Guidelines on Restructuring of Advances (2014 / updated 2021) and the Fair Practices Code require that lenders proactively offer viable alternatives when the requested loan amount exceeds the borrower's assessed capacity — rather than issuing an outright decline.

Option	Approach	Typical Reduction	Minimum Tenure
OPT_REDUCED_AMOUNT	Reduce principal, keep original tenure	~15% reduction	12 months
OPT_EXTENDED_TERM	Reduce principal + extend tenure	~30% reduction	Requested + 12 months

- Maximum EMI must not exceed **35% of verified gross monthly income**.
- Origination fee of 2% applies to all counter-offer options.
- RBI requires lenders to disclose why the original amount was not sanctioned (counter_offer_logic field).
- Minimum 2 viable alternatives must be presented per RBI FPC norms.

12. Audit, Explainability & Reporting

Applicable Nodes: ALL nodes (via @audit_node decorator)

RBI's Guidelines on Responsible AI in Financial Services (2024 draft) and the existing IT Framework for NBFCs / Banks mandate that every automated decision must be explainable, logged, and retrievable for regulatory inspection within 24 hours of a request.

12.1 Mandatory Audit Fields per Node

Field	Description	Retention Period
node_execution_times	Duration of each node in ms	90 days
model_reasoning	LLM explanation of classification	7 years
llm_response_type	'RAG' or 'FALLBACK' — traceability	7 years
confidence_score	Model confidence (0–1) per output	7 years
reasoning_trace	Aggregator sub-scores + hard-decline flag	7 years
reasoning_steps	Decision node step-by-step logic	7 years
rag_pool	Source documents retrieved for decision	7 years
application_id / correlation_id	Unique identifiers for traceability	Permanent

12.2 Adverse Action Notice

Under RBI's Fair Practices Code, any DECLINE or COUNTER_OFFER decision must be accompanied by a written explanation communicated to the applicant. The *explanation* and *decline_reason* fields in the final response payload fulfil this requirement.

WARNING: Audit logs must be tamper-proof, time-stamped, and stored in an immutable audit store. Access must be restricted to compliance officers and system administrators only. RBI inspection may be conducted with 48 hours' notice.